Pearson Edexcel Level 3 GCE

Practice Paper (Moderate)

Economics A

Advanced Subsidiary

PAPER 1: Introduction to Markets and Market Failure

Time allowed:	1 hour 30 minutes
Total marks:	80
Calculators:	May be used

Instructions

- Use black ink or ball-point pen.
- There are two sections in this question paper.
- Answer ALL questions in Section A.
- In Section B, answer ALL of questions 6(a) to 6(e) and ONE question from 6(f) or 6(g).
- Answer the questions in the spaces provided.

Information

- The total mark for this paper is 80.
- The marks for each question are shown in brackets — use this as a guide as to how much time to spend on each question.
- Calculators may be used.

Advice

- Read each question carefully before you start to answer it.
- Check your answers if you have time at the end.

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

You are advised to spend 25 minutes on this section.

1 Coffee is one of the world's most traded agricultural commodities. Coffee beans are grown in tropical regions, and the long-term sustainability of coffee farming is threatened by deforestation and climate change. Some producers are switching to solar-powered processing equipment to reduce their reliance on diesel generators.

(a) With reference to the information provided, explain the distinction between renewable and non-renewable resources. **(3)**

(b) Which **one** of the following is the best example of a **capital good**? **(1)**

■ A A barista serving coffee in a café

■ B A coffee bean grown on a farm

■ C A coffee roasting machine in a factory

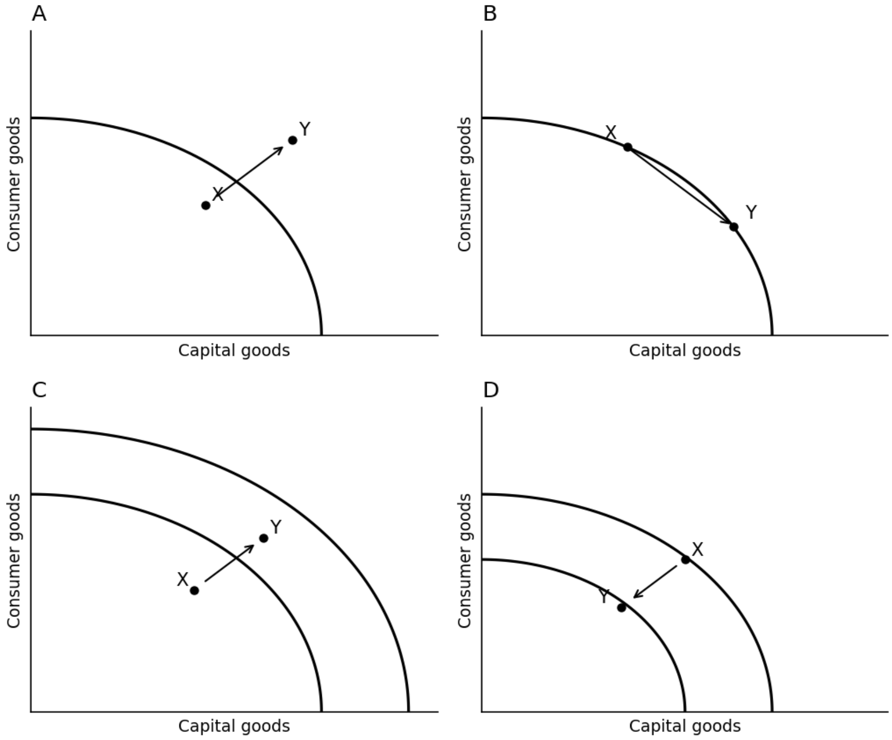
■ D A consumer drinking a cup of coffee

(Total for Question 1 = 4 marks)

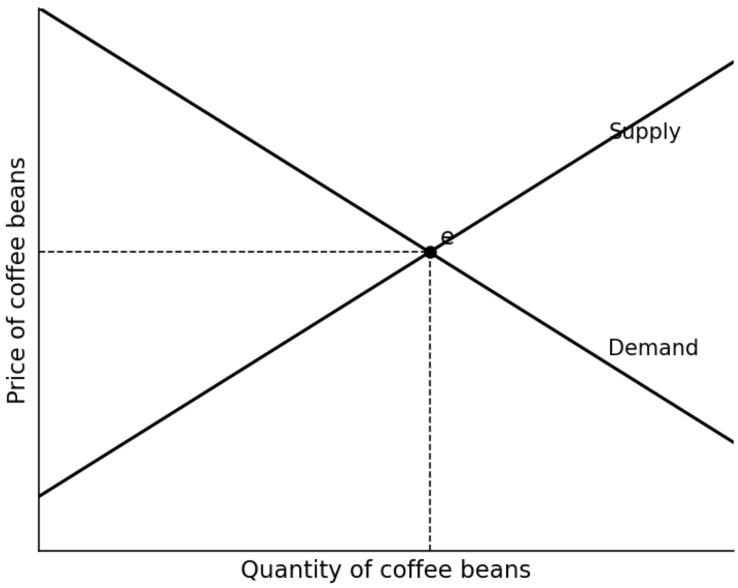
2 In 2024, severe frosts in Brazil — the world's largest coffee producer — destroyed an estimated 11% of the country's arabica coffee trees. Coffee bean prices on the world market subsequently rose sharply.

(a) Define the term '**demand**'. **(1)**

(b) Which **one** of the diagrams below best illustrates the likely impact on Brazil's economy of the frost damage to coffee trees? **(1)**



(c) Annotate the diagram below to show the effect of the frost damage on the world price of coffee beans. **(2)**



(Total for Question 2 = 4 marks)

3 The United Kingdom is best described as a mixed economy. Healthcare in the UK is largely provided free at the point of use by the National Health Service (NHS), which is funded through general taxation.

(a) Which **one** of the following best describes a **mixed economy**? **(1)**

■ A An economy in which all resources are owned by the state

■ B An economy in which the price mechanism alone allocates resources

■ C An economy that combines elements of free market and command economies

■ D An economy with no taxes or government regulation

Vaccination programmes in the UK are funded by the government and offered free of charge to all children. Public health officials argue that high vaccination rates protect society as a whole, not just those vaccinated.

(b) With reference to the information above, explain **one** reason why vaccinations are normally provided by the state rather than by the free market. **(3)**

(Total for Question 3 = 4 marks)

4

Statement 1

In 2023, UK government spending on the NHS was £181 billion.

Statement 2

The government should spend more money on the NHS than on defence.

(a) Which **one** of the following best describes the two statements above? **(1)**

	Statement 1	**Statement 2**
■ A	Normative	Normative
■ B	Normative	Positive
■ C	Positive	Normative
■ D	Positive	Positive

In 2024, the UK government announced an additional £2.5 billion of spending on the NHS. As a result, planned spending on transport infrastructure was reduced.

(b) With reference to the information above, explain what is meant by '**opportunity cost**'. **(3)**

(Total for Question 4 = 4 marks)

5 Streaming service Netflix increased the monthly price of its standard subscription plan in the UK from £10.99 to £12.99 in January 2024. Following the price increase, the number of UK subscribers fell by 4%.

(a) *Ceteris paribus*, calculate the price elasticity of demand for Netflix's UK standard subscription. You are advised to show your working. **(2)**

(b) Define the term '**price elasticity of demand**'. **(1)**

(c) Which **one** of the following would most likely make the demand for Netflix subscriptions **more price elastic**? **(1)**

■ A A reduction in the number of streaming competitors

■ B An increase in the variety of Netflix's original content

■ C The launch of new low-cost streaming rivals such as Disney+ and Paramount+

■ D The introduction of long-term annual subscription contracts

(Total for Question 5 = 4 marks)

TOTAL FOR SECTION A = 20 MARKS

SECTION B

Read Figure 1 and the following extracts (A, B and C) before answering Question 6.

Answer ALL Questions 6(a) to 6(e) and EITHER Question 6(f) OR Question 6(g).

You are advised to spend 1 hour 5 minutes on this section.

Question 6

The market for sugary drinks in the UK

Figure 1: UK sales of sugar-sweetened soft drinks (millions of litres), 2016–2023

Year	2016	2017	2018	2019	2020	2021	2022	2023
Sales (million litres)	3850	3620	3210	2980	2820	2740	2680	2610

Extract A

The UK Soft Drinks Industry Levy

In April 2018, the UK government introduced the Soft Drinks Industry Levy (SDIL), commonly known as the 'sugar tax'. Drinks with more than 8g of sugar per 100ml are taxed at 24p per litre, while those with between 5g and 8g per 100ml are taxed at 18p per litre. Drinks with less than 5g of sugar per 100ml are exempt.

Public health campaigners welcomed the policy, arguing that excess sugar consumption imposes significant costs on the NHS through the treatment of obesity, type 2 diabetes and tooth decay. Children consume on average three times more sugar than the recommended daily limit, yet many are unaware of how much sugar is contained in popular drinks.

Most major manufacturers, including Coca-Cola and Britvic, responded by reformulating their products to contain less sugar, allowing them to avoid the levy. However, premium brands such as Coca-Cola Classic retained their original recipe, meaning their prices rose. With UK real household incomes falling by 2.1% in 2023, sales of own-brand low-sugar alternatives are forecast to rise from 480 million to 540 million litres this year.

(Source adapted from publicly available data)

Extract B

Manufacturers respond to the sugar tax

When the SDIL was introduced, it was estimated to raise £520 million per year for the Treasury. In practice, mass reformulation by manufacturers meant that the levy raised only £240 million in its first year. The government has chosen to spend the revenue on school sports and breakfast clubs.

Critics argue that the tax is regressive, since lower-income households spend a larger proportion of their income on soft drinks than higher-income households. Industry representative Sarah Patel commented: "Manufacturers will inevitably pass some of the cost on to consumers, particularly where demand is price inelastic. This creates inflationary pressure across the sector."

There are also concerns about unintended substitution. Some consumers have switched from sugary drinks to high-calorie alternatives such as fruit juice and milkshakes, which are not covered by the levy but which can contain similar amounts of sugar.

(Source adapted from publicly available data)

Extract C

Beyond the levy: nudging healthier choices

Research conducted in UK supermarkets and cafés suggests that a combination of interventions is more effective at reducing sugary drink purchases than any single measure on its own. Placing healthier drinks at eye level on shelves was found to increase purchases of low-sugar alternatives by 3.1%. Front-of-pack 'traffic light' warning labels increased purchases of low-sugar drinks by 2.6%, while removing sugary drinks from supermarket checkout displays raised purchases of healthier options by 4.2%.

"The individual effects are modest, but when these nudges are combined the overall impact on consumer behaviour becomes substantial," said Dr. Ellen Walters of University College London. By contrast, simple price discounts on bottled water had almost no effect on consumer choice.

(Source adapted from publicly available data)

6 (a) Explain what is meant by 'unintended substitution' (Extract B, line 9) in the market for sugary drinks. **(5)**

(b) With reference to Extract A and your own knowledge, assess the view that consumers are behaving rationally when they continue to buy full-sugar soft drinks despite the introduction of the sugar tax. **(10)**

(c) With reference to Extract A, explain the likely numerical value for the income elasticity of demand for own-brand low-sugar alternatives. **(4)**

(d) With reference to Extract C, explain how supermarket nudges such as shelf placement and warning labels may lead to a fall in demand for sugary drinks. **(6)**

(e) Discuss the likely private costs and external costs of the consumption of sugary drinks. **(15)**

EITHER

(f) Evaluate the likely impact of the UK Soft Drinks Industry Levy on consumers and producers. Use a diagram to support your answer. **(20)**

OR

(g) Evaluate methods of government intervention which could be used to reduce the market failure associated with the consumption of sugary drinks. Use a diagram to support your answer. **(20)**

Indicate which question you are answering by marking a cross in the box. Chosen question number: ■ Question 6(f) ■ Question 6(g)

(Total for Question 6 = 60 marks)

TOTAL FOR SECTION B = 60 MARKS

TOTAL FOR PAPER = 80 MARKS